

Estimating Market Size

The process of identifying the primary estimate for industry size can be time-taking, expensive, and not very rewarding for the amount of effort spent. Thus, secondary estimates for industry sizes may be used. These include government data, trade association data, and financial data from major players. Information from these sources helps estimate the industry size.

Steps for determining the size of the industry:

- 1 **Determining the boundaries of the industry-activity-wise and geography-wise.**
- 2 **Determine a time horizon i.e. monthly, annual, or even for a longer horizon.**
- 3 **A population estimate for the geographical area is established.**
- 4 **Once the population is known, a sample survey is conducted to know the adoption rate and the penetration rate.**
- 5 **These ratios are multiplied by the population size to estimate the industry size. This gives a primary estimate of the industry size.**